WEALTH STRATEGY SNAPSHOT

EDUCATIONAL ANALYSIS

Wealth Strategy Snapshot

2026 Tax Year Planning | Prepared for Karin Moeller | March 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile. As a W-2 healthcare professional with an established S-Corporation and interest in short-term rental arbitrage, your profile presents several overlapping opportunities across retirement maximization, business deductions, pass-through income optimization, and real estate income strategies — particularly given Nevada's 0% state income tax environment.

Based on the strategies modeled in this snapshot, this analysis models potential first-year value ranging from **$77,962** (conservative scenario) to **$134,407** (aggressive scenario including STR arbitrage expansion and full credit line deployment). Key changes reflected in this analysis include the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, which made the QBI deduction permanent and expanded Section 179 limits. Implementation of any strategy should be verified with your CPA and licensed financial advisor.

Profile Summary

ITEM	DETAIL
Filing Status / Age	Married Filing Jointly · Age 50 (standard catch-up eligible)
Location	Las Vegas, NV — 0% state income tax
Household Income	$200,000–$299,000 combined (W-2 employment + S-Corp)
W-2 Employment	Acupuncturist at multi-provider clinic
Business	Mobile acupuncture S-Corporation (established 2+ years)
S-Corp Revenue	$75,000–$99,000 annually
Estimated Marginal Rate	24% federal / 0% state = 24% effective
Dependents	1 adult child
Property	Own home — significant equity ($100K+); value ~$300,000; mortgage ~$2,250/mo
Deployable Capital	$10,000–$25,000 (midpoint: $17,500)
Business Credit	$18,000 limit at 0% APR through February 2027
Credit Score	720–759
Existing Retirement	Contributing to employer 401(k), but not maxed; no Solo 401(k) currently
Risk Profile	Moderately conservative (some growth, limited risk)
Time Available	5–10 hours per week for wealth-building activities
Primary Goals	Launch STR arbitrage in Flagstaff, AZ → build toward STR ownership · Fast-track retirement savings · Establish generational trusts
Investment Preference	Not interested in Bitcoin/crypto at this time

⚠️ **SECURE 2.0 Flag:** If your W-2 employer FICA wages exceeded $150,000 in 2025, your 2026 catch-up contributions to that employer's plan must be made as Roth (after-tax) rather than pre-tax. Discuss this with your CPA to confirm your status and contribution strategy.

Key Context: You and your husband experienced significant financial loss in 2008 and have rebuilt to a strong position. Your husband does not wish to leverage home equity, and this plan fully respects that preference — no home equity strategies are proposed. Your $18,000 business credit line at 0% APR (through Feb 2027) is modeled as a potential deployment tool in the aggressive scenario only.

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

TIMEFRAME	AWARENESS ITEM
Week 1–2	**2025 IRA/Roth contributions:** Both spouses may still contribute for 2025 before April 15, 2026. Backdoor Roth may be appropriate at your income level. Discuss with CPA whether Traditional IRA has pre-tax balances (pro-rata rule).
Week 1–2	**W-4 review:** If currently over-withholding on W-2, adjusting your W-4 could increase monthly take-home cash. Discuss optimal withholding with CPA based on 2026 projected income and deductions.
Week 2–3	**Solo 401(k) consideration:** For 2026 employee deferrals, plan must be established by December 31, 2026. Earlier establishment allows you to begin contributions sooner. Discuss timing and coordination with existing W-2 employer plan with CPA.
Week 2–3	**STR arbitrage research:** Begin evaluating Flagstaff, AZ lease opportunities, local STR regulations, furnishing costs, and projected occupancy rates. Consider entity structure (new LLC vs. existing S-Corp) — discuss with CPA and attorney.
Week 3–4	**HSA eligibility:** Verify whether current health coverage qualifies as a High Deductible Health Plan. If not, explore HDHP options at next open enrollment period or qualifying life event. Note: Under OBBBA, Bronze and Catastrophic Marketplace plans are now HSA-eligible starting 2026.
Week 3–4	**Augusta Rule documentation:** If S-Corp will rent your home for board meetings or planning sessions, research fair market rental rates in Las Vegas for comparable properties. Discuss documentation requirements with CPA.
Week 4	**Business credit building:** Continue building business credit profile for future STR financing. Evaluate timeline for 0% APR card deployment ($18K) toward arbitrage furnishing costs vs. maintaining as reserve.

Week 4	**Trust & estate planning:** Begin initial consultation with estate planning attorney regarding generational trust structures aligned with your long-term goals.

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

STRATEGY	2025 LIMIT	DEADLINE	YOUR OPPORTUNITY
Traditional / Roth IRA	$7,000 + $1,000 catch-up (age 50) per spouse	April 15, 2026	Up to $16,000 for both spouses. Backdoor Roth likely needed at your income. Discuss pro-rata rule with CPA.
HSA	$8,550 family / $4,300 individual	April 15, 2026	If you had HDHP coverage in 2025, verify remaining contribution room with CPA.
Solo 401(k) — Employer Portion	25% of net SE income (up to $69,000 total)	Tax filing + extensions	Only if Solo 401(k) plan was established before Dec 31, 2025. Discuss with CPA.
SEP IRA	25% of net SE income, up to $69,000	Tax filing + extensions	Alternative if Solo 401(k) was not established for 2025. Discuss with CPA.

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments, Augusta Rule rental events, and other calendar-year strategies.

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

Strategy Concept: Solo 401(k) via S-Corporation

Potential Value: $5,400 – $10,800 in tax savings

What It Is: A Solo 401(k) allows self-employed individuals to make both employee deferrals and employer profit-sharing contributions. At age 50 with a 24% marginal rate, maximizing contributions could generate up to $10,800 in federal tax savings while accelerating retirement wealth.

How It Works:

1. Establish Solo 401(k) plan through S-Corp by Dec 31, 2026 (earlier is better for cash flow planning)
2. Employee deferrals: up to $24,500 + $8,000 catch-up = $32,500 (shared limit with W-2 employer plan — coordinate total across both)
3. Employer profit-sharing: S-Corp contributes up to 25% of your W-2 salary from the S-Corp (this is in addition to employee deferrals)

Eligibility Criteria: Self-employment income through S-Corp with no full-time employees other than yourself (and spouse).

Coordinate with W-2 employer 401(k) — the $32,500 employee deferral limit ($24,500 + $8,000) is shared across ALL employer plans. Employer contributions are per-plan. Verify with CPA. 2026 limits shown. SECURE 2.0: If W-2 wages exceeded $150K in 2025, catch-up must be Roth.

Strategy Concept: Augusta Rule (IRC §280A)

Potential Value: $6,000 – $9,800 in tax-free income

What It Is: The Augusta Rule allows a homeowner to rent their personal residence for up to 14 days per year without reporting the rental income. Your S-Corp pays fair market rent for board meetings, strategic planning sessions, or team events held at your home — the S-Corp deducts the expense, and you receive tax-free income.

How It Works:

1. Document fair market rental rate for comparable Las Vegas properties (conservative: $500/day, aggressive: $700/day)
2. S-Corp holds legitimate business meetings/planning days at your home (up to 14 days)
3. S-Corp pays rent, deducts as business expense; you receive income tax-free (no reporting required under §280A)

Eligibility Criteria: Home ownership + active S-Corp with legitimate business purpose for rental events. Proper documentation of meeting agendas, attendees, and FMV comparables is essential.

IRS requires reasonable rental rates with documented comparables. Maintain meeting minutes, agendas, and payment records. Verify with CPA.

Strategy Concept: S-Corp Salary Optimization

Potential Value: $2,000 – $4,000 in tax savings

What It Is: Calibrating your S-Corp salary to a "reasonable" level balances FICA/SE tax savings against retirement contribution maximization. Setting salary too high increases payroll tax; too low risks IRS scrutiny and limits employer 401(k) contributions.

How It Works:

1. Review industry salary data for licensed acupuncturists in Nevada to establish "reasonable compensation"
2. Optimize salary level to maximize Solo 401(k) employer contribution (25% of salary) while minimizing excess payroll tax
3. Remaining S-Corp profits taken as distributions (not subject to self-employment tax)

Eligibility Criteria: Active S-Corp with net income above the reasonable salary threshold.

Salary must be "reasonable" per IRS standards. Discuss optimal level with CPA based on 2026 projected S-Corp revenue.

Strategy Concept: QBI Deduction (Section 199A — Made Permanent Under OBBBA)

Potential Value: $960 – $1,920 in tax savings

What It Is: The Qualified Business Income deduction allows owners of pass-through entities (including S-Corporations) to deduct up to 20% of qualified business income from federal taxable income. Under the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, this deduction is now permanent. Acupuncture is classified as a Specified Service Trade or Business (SSTB), but at your household income level (below the $406,000 MFJ threshold for 2026), the SSTB limitation does not apply and the full 20% deduction is available.

How It Works:

1. S-Corp net income flows to your personal return via Schedule K-1
2. 20% of qualified business income is deducted from taxable income (e.g., $20,000–$40,000 QBI × 20% = $4,000–$8,000 deduction)
3. At 24% marginal rate, this models $960–$1,920 in federal tax savings

Eligibility Criteria: Pass-through business income, taxable income below SSTB phase-out threshold ($406,000 MFJ for 2026). QBI excludes reasonable compensation (W-2 salary from S-Corp).

QBI deduction is now permanent under OBBBA. Phase-out range expanded to $150K MFJ (from $100K). New $400 minimum deduction if QBI exceeds $1,000. Verify eligibility and calculation with CPA. 2026 thresholds shown.

Strategy Concept: HSA Maximization

Potential Value: $2,100 in tax savings (if HDHP eligible)

What It Is: Health Savings Accounts offer a triple tax advantage — contributions are tax-deductible, growth is tax-free, and qualified withdrawals are tax-free. For 2026, the family contribution limit is $8,750. At your 24% marginal rate, a full contribution generates $2,100 in tax savings.

How It Works:

1. Verify enrollment in a qualifying High Deductible Health Plan (HDHP) — note: under OBBBA, all Bronze and Catastrophic Marketplace plans are now HSA-eligible for 2026
2. Contribute the 2026 family maximum of $8,750 (no additional catch-up until age 55)
3. Consider investing HSA funds for long-term growth; the account can function as a supplemental retirement vehicle

Eligibility Criteria: Must be enrolled in a qualifying HDHP. Cannot be enrolled in Medicare or claimed as a dependent. Not available with general-purpose FSA.

If not currently on HDHP, explore options at next open enrollment. HSA catch-up ($1,000) available at age 55+. Verify eligibility with benefits administrator and CPA. 2026 limits shown.

Strategy Concept: Home Office Deduction (Actual Expense Method)

Potential Value: $1,200 – $2,400 in deduction value

What It Is: With a dedicated room used exclusively for business, you may deduct a proportional share of home expenses (mortgage interest, property tax, utilities, insurance, depreciation) through your S-Corp or as an unreimbursed business expense.

How It Works:

1. Measure dedicated office space as a percentage of total home square footage

2. Calculate proportional share of qualifying home expenses
3. S-Corp reimburses you under an accountable plan (or claim via simplified method at $5/sq ft, max $1,500)

Eligibility Criteria: Dedicated space used regularly and exclusively for business. You confirmed a dedicated room used exclusively for your S-Corp business.

Actual expense method typically yields higher deductions but requires detailed record-keeping. Discuss which method is optimal with CPA.

Strategy Concept: Vehicle / Mileage Deduction

Potential Value: $870 – $2,610 in deduction value

What It Is: As a mobile acupuncturist, business-related driving to client locations, networking events, and supply runs may be deductible at 72.5¢ per mile for 2026. Your 2023 Kia Soul is currently used under 25% for business — increasing documented business use could significantly increase this deduction.

How It Works:

1. Begin tracking all business miles with a mileage logging app (MileIQ, Everlance, or similar)
2. Standard mileage rate for 2026: 72.5¢/mile (covers gas, insurance, depreciation, maintenance)
3. Conservative estimate: 5,000 miles × $0.725 = $3,625 deduction × 24% = $870; Aggressive: 15,000 miles × $0.725 = $10,875 × 24% = $2,610

Eligibility Criteria: Business use of personal vehicle with contemporaneous mileage log. Must choose between standard mileage rate and actual expense method.

Start mileage tracking immediately — the IRS requires contemporaneous records. Verify standard vs. actual expense with CPA. 2026 rate: 72.5¢/mile.

Strategy Concept: Backdoor Roth IRA (Both Spouses)

Potential Value: $15,000 – $17,200 positioned in tax-free growth accounts

What It Is: At your income level, direct Roth IRA contributions are phased out. The Backdoor Roth strategy involves making a non-deductible Traditional IRA contribution and immediately converting it to a Roth IRA. For 2026, each spouse can contribute $7,500 + $1,100 catch-up (age 50+) = $8,600 each, totaling $17,200.

How It Works:

1. Contribute $7,500–$8,600 to Traditional IRA (non-deductible) for each spouse
2. Convert to Roth IRA promptly (ideally within days)
3. Funds now grow tax-free with tax-free qualified withdrawals in retirement

Eligibility Criteria: Any income level. Important: if either spouse has existing pre-tax IRA balances, the pro-rata rule applies and may create a taxable event. Discuss with CPA.

The pro-rata rule is critical — if you have existing Traditional IRA balances, rolling them into an employer 401(k) first may be necessary. Verify with CPA. 2026 limits: $7,500 + $1,100 catch-up.

Strategy Concept: Non-Itemizer Charitable Deduction (New Under OBBBA)

Potential Value: Up to $480 in tax savings

What It Is: Starting in 2026, the One Big Beautiful Bill Act introduced a new charitable deduction for taxpayers who take the standard deduction. Married filing jointly filers can deduct up to $2,000 in cash charitable contributions even without itemizing. At your 24% marginal rate, this models up to $480 in tax savings for donations you may already be making.

How It Works:

1. Make cash charitable contributions to qualifying 501(c)(3) organizations during 2026
2. Deduct up to $2,000 (MFJ) on your tax return even while taking the standard deduction
3. Must be cash contributions (not property or appreciated assets)

Eligibility Criteria: Must take the standard deduction. Cash contributions to qualifying organizations. Applies to tax years beginning after December 31, 2025.

This is a new provision under OBBBA. Maintain receipts for all charitable contributions. Verify eligibility with CPA.

Primary Strategy Education: STR Arbitrage Launch

Based on your stated goals — launching a profitable STR arbitrage business leading to eventual property ownership, fast-tracking retirement, and establishing generational trusts — short-term rental arbitrage in Flagstaff, AZ represents your primary wealth-building vehicle for 2026.

What STR Arbitrage Models

STR arbitrage involves leasing a property long-term, furnishing it, and subletting it as a short-term rental on platforms like Airbnb and VRBO. The spread between your lease cost and nightly rental revenue generates positive cash flow — without requiring a down payment or mortgage qualification.

COMPONENT	CONSERVATIVE ESTIMATE	AGGRESSIVE ESTIMATE
Monthly lease cost (Flagstaff 2BR–3BR)	$1,800	$2,200
Furnishing / setup cost per unit	$5,000	$10,000
Projected monthly gross revenue	$3,000	$5,000
Monthly operating expenses (cleaning, supplies, software)	$500	$800
Monthly net cash flow per unit	$700	$2,000
Annualized (partial year — ~6 months)	$4,200	$12,000
Sec. 179 on furnishings (tax benefit at 24%)	$0	$2,400

Entity Considerations: Discuss with your CPA and attorney whether to operate STR arbitrage through your existing S-Corp or establish a new LLC. Factors include liability separation, insurance, and tax treatment of rental income. Your proactive CPA can help determine the optimal structure.

Flagstaff, AZ Market Considerations

Flagstaff is a year-round tourism market (skiing, NAU university events, Route 66, Grand Canyon proximity) approximately 3.5 hours from Las Vegas. Key due diligence points to explore: local STR regulations and permit requirements, seasonality patterns, average occupancy rates, and landlord willingness to permit subletting. Verify current regulations before signing any leases.

Leveraging the 0% APR Credit Line

Your $18,000 business credit card at 0% APR through February 2027 could potentially cover furnishing costs for 1–2 arbitrage units, allowing you to preserve cash reserves. In the aggressive scenario, this credit line is modeled as deployment capital. Repayment should be planned well before the 0% period expires to avoid interest charges.

OBBBA Impact on STR Furnishings

Under the One Big Beautiful Bill Act, Section 179 expensing limits have expanded to $2,500,000 (up from $1,000,000), with the phase-out threshold increasing to $4,000,000. While your furnishing costs are well below these limits, the expanded provision ensures full first-year expensing of all qualifying STR furnishings and equipment. Additionally, 100% bonus depreciation has been permanently restored for qualifying property acquired and placed in service after January 19, 2025.

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance.

Illustrative Portfolio Scenario

Educational Investment Scenario (Based on Profile Analysis)

Client-Directed Adjustment: You have indicated you are not interested in Bitcoin or cryptocurrency at this time. This allocation reflects your moderately conservative, business-growth-focused profile with STR arbitrage as the primary wealth-building vehicle.

ASSET CLASS	SCENARIO %	ILLUSTRATIVE AMOUNT ($17,500)	EDUCATIONAL RATIONALE
STR Arbitrage Launch Capital	55%	$9,625	Primary growth vehicle aligned with stated goals; covers initial lease deposits, furnishing, and startup costs for first Flagstaff unit
VTI (Vanguard Total Stock Market)	25%	$4,375	VTI provides broad U.S. equity exposure at low cost (0.03% expense ratio) — commonly used for long-term retirement account growth
VOO (Vanguard S&P 500)	10%	$1,750	VOO tracks the S&P 500, offering exposure to 500 of the largest U.S. companies — complements VTI in retirement accounts
Cash / Operating Reserve	10%	$1,750	Operating buffer for STR arbitrage seasonality and unexpected expenses; maintains financial resilience

These scenarios are for educational illustration. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation.

Modeled First-Year Value Summary (2026 Tax Year)

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	NOTES
CATEGORY A: TAX OPTIMIZATION STRATEGIES				
Tax	Solo 401(k) / W-2 401(k) Coordination	$5,400	$10,800	New contributions × 24% marginal rate
Tax	HSA Maximization	$2,100	$2,100	$8,750 family × 24% (if HDHP eligible)
Tax	Augusta Rule (§280A)	$6,000	$9,800	$500–$700/day × 12–14 days (tax-free)
Tax	Home Office Deduction	$1,200	$2,400	Dedicated room, actual expense method
Tax	Vehicle / Mileage (72.5¢/mi)	$870	$2,610	5K–15K business miles × rate × 24%
Tax	S-Corp Salary Optimization	$2,000	$4,000	FICA savings on optimized salary level
Tax	QBI Deduction (§199A — permanent under OBBBA)	$960	$1,920	20% of S-Corp QBI × 24% rate

	Tax Optimization Subtotal	**$18,530**	**$33,630**	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	VTI/VOO Dividends	$92	$92	$6,125 ETF allocation × ~1.5%
Income	STR Arbitrage Net Cash Flow (partial yr)	$4,200	$12,000	~6 months operation, 1 unit (Flagstaff): $700–$2,000/mo
	Investment Income Subtotal	**$4,292**	**$12,092**	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	VTI/VOO Appreciation	$490	$735	$6,125 × 8% (cons.) / 12% (agg.)
	Appreciation Subtotal	**$490**	**$735**	
CATEGORY D: REAL ESTATE — STR ARBITRAGE MODEL				
RE	Sec. 179 on Furnishings (tax benefit)	$0	$2,400	$10,000 furnishings × 24% (aggressive). Sec. 179 expanded to $2.5M under OBBBA.
	Real Estate Subtotal	**$0**	**$2,400**	
CATEGORY E: CASH FLOW IMPROVEMENTS				

Cash Flow	W-4 Optimization	$2,400	$4,800	$200–$400/mo additional take-home × 12
	Cash Flow Subtotal	**$2,400**	**$4,800**	
CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	Retirement Contributions (Solo 401k + W-2 401k)	$22,500	$45,000	Employee deferrals + employer match/profit sharing
Wealth	HSA Contributions (2026)	$8,750	$8,750	Family HDHP maximum (if eligible)
Wealth	Backdoor Roth IRA (both spouses)	$15,000	$17,200	$7,500 base × 2 (cons.) / $8,600 with catch-up × 2 (agg.)
Wealth	Augusta Rule Income Received	$6,000	$9,800	Tax-free income under 14-day rule
	Wealth Building Subtotal	**$52,250**	**$80,750**	
	TOTAL FIRST-YEAR VALUE (2026)	**$77,962**	**$134,407**	

Conservative Verification: $18,530 + $4,292 + $490 + $0 + $2,400 + $52,250 = $77,962 ✓

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Aggressive Verification: $33,630 + $12,092 + $735 + $2,400 + $4,800 +
$80,750 = $134,407 ✓
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Note: Arbitrage model (lease-based, not purchase). No cost segregation, property appreciation, or mortgage paydown. Cash flow shown in Category B. Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits; verify with your CPA. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

DATE	ITEM	NOTES
April 15, 2026	Last day for 2025 IRA / HSA contributions	Backdoor Roth for 2025; HSA if HDHP in 2025
Oct 15, 2026	Extended tax filing deadline (2025 return)	Solo 401(k) / SEP employer contributions for 2025 due with filing
Dec 31, 2026	Solo 401(k) plan establishment deadline	Must be in place for 2026 employee deferrals
Dec 31, 2026	2026 employee 401(k) deferral deadline	Last payroll of year for employee contributions
Dec 31, 2026	Augusta Rule — complete rental events	All 14 rental days must occur within calendar year
April 15, 2027	Last day for 2026 IRA / HSA contributions	Backdoor Roth for 2026; HSA for 2026

Verify all deadlines with your tax professional. Deadlines may shift if they fall on weekends or holidays.

Questions for Your Professional Team

ASK YOUR CPA
"Based on my W-2 income and S-Corp income for 2026, what is the optimal Solo 401(k) contribution strategy? How do I coordinate employee deferrals across both employer plans to stay within the $32,500 limit?"

ASK YOUR CPA
"Do I need to make my 2026 catch-up contributions as Roth due to SECURE 2.0 rules? Did my 2025 W-2 FICA wages exceed the $150,000 threshold?"

ASK YOUR CPA
"Can I still make 2025 IRA contributions before April 15? Do I have any existing Traditional IRA balances that would trigger the pro-rata rule on a Backdoor Roth conversion?"

ASK YOUR CPA
"What documentation do I need for the Augusta Rule? What is the fair market rental rate for my home, and how many days should I plan for?"

ASK YOUR CPA
"Should my STR arbitrage operate under my existing S-Corp or a new LLC? What are the tax implications of each structure for rental income?"

ASK YOUR CPA
"Is my current health plan an HDHP? If not, what would I need to change to become HSA-eligible for 2026?"

ASK YOUR CPA
"How does the QBI deduction apply to my S-Corp income? Am I below the SSTB phase-out threshold for 2026, and what is my estimated QBI deduction amount?"

ASK YOUR ATTORNEY
"What trust structure would best serve our goal of generational wealth transfer? What are the costs, timeline, and tax implications of establishing a trust in Nevada?"

ASK YOUR ATTORNEY

"What entity structure and insurance coverage should I have in place before signing my first STR arbitrage lease in Flagstaff?"

DISCUSS WITH FINANCIAL ADVISOR

"Given my moderately conservative risk profile and 15+ year retirement horizon, how does the VTI/VOO allocation scenario align with my overall retirement goals? What adjustments would you suggest?"

Professional Team Considerations

PROFESSIONAL	ROLE IN STRATEGY IMPLEMENTATION	YOUR STATUS
CPA / Tax Professional	Tax strategy verification, Solo 401(k) coordination, S-Corp salary optimization, Augusta Rule documentation, QBI deduction calculation, entity structure for STR	✅ Currently have a proactive CPA
Estate / Trust Attorney	Generational trust establishment, entity formation for STR arbitrage, asset protection planning	Discuss with CPA for referral
Financial Advisor (RIA)	Retirement account investment allocation, long-term portfolio strategy, coordination with tax plan	Consider engaging for retirement acceleration goal
Insurance Agent	STR business liability coverage, HDHP evaluation for HSA eligibility, umbrella policy review	Review current coverage

Key Milestone Considerations (2026)

QUARTER	MILESTONE	DISCUSSION POINT
Q1 2026	2025 cleanup contributions	Complete 2025 IRA/HSA contributions before April 15. File 2025 return and evaluate Solo 401(k) / SEP employer contributions for 2025.
Q1 2026	STR arbitrage foundation	Market research in Flagstaff. Entity structure decision. Insurance and landlord negotiation strategy.
Q2 2026	First arbitrage unit launch	If lease secured, furnish and list unit. Begin tracking income and expenses from Day 1 for tax purposes. Consider Sec. 179 expensing for furnishing costs.
Q2 2026	W-4 and payroll adjustments	Implement optimized W-4. Begin Solo 401(k) contributions if plan is established.
Q3 2026	Mid-year tax review	Review YTD income, contributions, and STR performance with CPA. Adjust estimated payments if needed. Verify QBI deduction eligibility.
Q4 2026	Year-end strategy completion	Complete Augusta Rule rental events. Max out retirement contributions. Establish Solo 401(k) by Dec 31 if not yet done. Evaluate second arbitrage unit feasibility.
Q1 2027	Trust planning initiation	With STR income established, begin discussions with estate attorney on generational trust structures.

Milestones are considerations for discussion with your professional team, not prescribed actions. Adjust timing based on your CPA's guidance and personal circumstances.

Educational Resources: 2026 Contribution Limits

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50+)	SUPER CATCH-UP (60–63)
401(k) Employee Deferral	$24,500	+$8,000	+$11,250
401(k) Total (Employee + Employer)	$72,000	+$8,000	+$11,250
HSA — Family Coverage	$8,750	+$1,000 (55+)	N/A
HSA — Individual Coverage	$4,400	+$1,000 (55+)	N/A
Traditional / Roth IRA	$7,500	+$1,100	N/A
Section 179 Expensing (OBBBA)	$2,500,000	Phase-out begins at $4,000,000	

2026 Business Mileage Rate: 72.5¢ per mile

2026 Standard Deduction (MFJ): $32,200

QBI Deduction Threshold (MFJ): ~$406,000 (full 20% deduction below this level)

Non-Itemizer Charitable Deduction (MFJ): $2,000 (new under OBBBA)

Your Age-Based Limits (Age 50): Standard catch-up contributions apply across all accounts. You are not yet eligible for super catch-up (ages 60–63) or HSA catch-up (age 55+). These will become available as you reach those age thresholds.

For reference only. Verify all limits at IRS.gov or with your tax professional. Limits are subject to annual adjustment. Limits shown reflect OBBBA provisions signed July 4, 2025, and Rev. Proc. 2025-32.

Important Disclaimers

Educational Purpose: This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

Not Investment Advice: Legacy Investing Show and its staff are not registered investment advisers. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented are illustrative models for educational purposes only. All investments carry risk including potential loss of principal.

Not Tax Advice: Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax outcomes depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation.

Not Legal Advice: Entity structure, asset protection, and trust discussions are educational. Consult a qualified attorney for legal guidance specific to your situation.

No Guarantees: Projected values, potential savings, and scenario outcomes are illustrative estimates based on assumptions stated. Actual results will vary based on market conditions, tax law changes, and individual circumstances. Past performance does not guarantee future results.

Investment Risk Disclosure: All investments involve risk. Real estate investments carry risks including market fluctuations, vacancy, regulatory changes, and unexpected expenses. Short-term rental arbitrage carries additional risks including lease restrictions, platform policy changes, and seasonal demand variability. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA (One Big Beautiful Bill Act) provisions signed July 4, 2025. Key OBBBA provisions reflected in this document include: permanent QBI deduction, expanded Section 179 limits, 100% bonus depreciation restoration, non-itemizer charitable deduction, and updated standard deductions. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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